	2005	2006	2007	2008	2009	2010
Ministry of Defense	13.3	17.5	22.5	26.5	25.9	30.0
Exchange rates, roubles/USD	28.31	27.14	25.55	24.89	31.76	30.38

Source Russian Ministry of Finance, Russian Central Bank, CAST Calculations

However, Russia displayed its strength during the Georgia incident in August 2008, when Russian forces invaded and occupied large parts of Georgia. Subsequently, Russia gave the international community the impression that it is back and capable of projecting itself as a powerful country (Hass 2010). Later, for the first time in August 2008, Russia used military forces abroad in South Caucasus (Arbatov 2014), a sudden shift in the Russian foreign policy strategy. Another major incident was Russia's annexation of Crimea in 2014 (Pifer 2020). It signaled that Russia was ready to take to war if required. Since then, the Russian foreign policy structure changed and emphasized significant developing countries like China, India, and Brazil.

Southward Shift in Russian Foreign Policy

The West became skeptical of Russia's role in international affairs with this. Therefore, Putin once again shifted his foreign policy priorities. Putin emphasized southern world countries like China, India, and Iran, especially the so-called ‘pariah’ states like North Korea and Cuba, as part of that shift, with political, economic, and military tools (Arbatov 2014). After Putin, Dmitri Medvedev became the Russian President; however, Medvedev's tenure was a mere extension of Putin's foreign policy. Medvedev's foreign policy also underscored that their primary focus would be Troika states, i.e., India and China. So during that time, three concepts were circling in Russian mainstream thinking and policy doctrines for global governance: the following.

- A Multipolar World
- Sovereign Democracy, and
- Multilateral Diplomacy (Zagorski 2010).

Russian foreign policy continued to remain transparent, predictable, and pragmatic. Its foreign policy was consistent and continuous and reflected